

SECTION A – CASE QUESTIONS (Total 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Go-VR Limited ("Go-VR") was set up in 2011 and built the first virtual reality (VR) park in Hong Kong. Go-VR's park offers attractions made up of VR games.

Go-VR is a wholly-owned subsidiary of a Japanese company (the "parent" company). Go-VR has a sole director who is seconded by the senior management from the parent company. Because its parent company is engaged in the manufacturing of VR games and machinery, Go-VR can only source VR games and machinery from its parent company. The purchase prices of these game machines are determined based on a cost-plus margin of 30%.

In addition, Go-VR's administrative and accounting functions are handled by its parent company. Go-VR is required to pay a fixed monthly management fee to its parent company. These fees are approximately 50% of Go-VR's total administrative expenses.

Between 2011 and 2014, Go-VR was recognised as the "No. 1 VR park in Asia" because it had the widest variety of VR games in comparison to other VR parks in the region. Go-VR reached its peak in 2014 and the park attracted many visitors who travelled from nearby countries. However, starting in 2015, the park began to face severe competition. Immediately, its ranking dropped. Number of visitors is a key performance indicator for management because it is linked to the annual management bonus. In order to boost sales, Go-VR has introduced various promotional offers with a variety of discounts and different price cuts.

The following visitor information is published by Go-VR on its website:

Year	2011	2012	2013	2014	2015
Number of visitors (in millions)	0.9	1.2	2.4	3.5	3.2

Year	2016	2017	2018	2019	2020
Number of visitors (in millions)	3.0	2.7	2.3	1.8	0.5

In December 2020, Go-VR acquired an adjacent Go-Karting centre ("Go-Kart") aiming to attract more visitors through a synergy effect. The acquisition of Go-Kart was financed by a bank loan. Go-Kart had been operating profitably for the preceding three years prior to its acquisition by Go-VR. After this acquisition, Go-Kart has become Go-VR's subsidiary.

Go-VR has a year end date of 31 December and its financial statements are primarily used by its parent company, the tax bureau and creditors like banks.

During the year, Go-VR changed its auditor to your firm. You are the audit manager and are currently planning the audit of Go-VR for the year ended 31 December 2020.

Extract of Go-VR's management accounts which exclude the financial information of its subsidiary, Go-Kart, for the fiscal years 2019 and 2020 are shown below.

	2020 (Unaudited) HK\$'000	2019 (Audited) HK\$'000
Revenue	58,900	74,105
Cost of sales	(55,366)	(51,727)
Gross profit	3,534	22,378
Other income and gains	1,092	1,079
Marketing expenses	(4,357)	(4,220)
Administrative expenses	(5,456)	(5,342)
Management performance bonus	(1,200)	(500)
Finance costs	(153)	(166)
(Loss)/ Profit before tax	(6,540)	13,229
Income tax expense	(133)	(775)
(Loss)/ Profit for the year	(6,673)	12,454

	2020 (Unaudited) HK\$'000	2019 (Audited) HK\$'000
<u>Non-current assets</u>		
Property, plant and equipment	28,683	36,375
Right-of-use assets	4,563	5,576
Investment in Go-Kart Limited	20,000	-
	53,246	41,951
<u>Current assets</u>		
Prepayment and other receivables	523	703
Inventories	586	698
Trade receivables	540	582
Cash and cash equivalents	4,749	3,665
	6,398	5,648
<u>Current liabilities</u>		
Trade and other payables	462	647
Lease liabilities	897	903
Interest-bearing bank borrowings	2,000	-
Tax payable	567	530
	3,926	2,080

Non-current liabilities

Lease liabilities	3,607	4,597
Interest-bearing bank borrowings	18,000	-
	<u>21,607</u>	<u>4,597</u>
	<u>34,111</u>	<u>40,922</u>

Question 1 (12 marks – approximately 22 minutes)

During the audit planning meeting, Mr Donald Ho, the audit partner, instructed the audit engagement team to analyse the information of visitors published by Go-VR. He also instructed the team to identify which accounts as set out in the 2020 management accounts of Go-VR and the related assertions are considered as significant risks. Prepare a memorandum to the audit partner to explain your answers.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(12 marks)

Question 2 (10 marks – approximately 18 minutes)

- (a) Evaluate the risks of material misstatement in Go-VR's financial statements that result from the related party relationships and transactions between Go-VR and its parent company.

(6 marks)

- (b) Propose audit procedures responding to the risk evaluation as set out in Question 2(a) above.

(4 marks)

Question 3 (12 marks – approximately 22 minutes)

During the planning meeting, the management told you that the acquisition of Go-Kart has resulted a goodwill which will be recorded in the consolidated financial statements of Go-VR for year ended 31 December 2020. The goodwill is further detailed in the management schedule shown below:

	<u>HK\$'000</u>
Consideration for the acquisition of Go-Kart	20,000
Less: Fair value of identifiable net assets	
Machineries and vehicles based on external valuation <i>(Note)</i>	(8,453)
Right-of-use assets	(6,243)
Cash at bank, trade and other receivables, trade and other payables and lease liabilities, net	<u>453</u>
Unallocated - goodwill	<u>5,757</u>

Note: Assume that there is no impact on deferred taxation.

Required:

Propose audit procedures to audit the above goodwill calculation and describe the audit evidence that you expect to obtain.

(12 marks)

Question 4 (8 marks – approximately 14 minutes)

During the audit, you realise Go-VR had breached the bank loan financial covenants as at 31 December 2020. Unless the management had already obtained a waiver from the bank before the year end date, the breach would cause the whole amount of the long-term portion of the bank loan to become due immediately.

Required:

Describe your audit consideration and propose respective procedures relating to:

- (a) the presentation and disclosure of Go-VR's financial statements if the management can obtain a waiver from the bank.
(4 marks)
- (b) the going concern assessment if the management cannot obtain any waiver from the bank.
(4 marks)

Question 5 (8 marks – approximately 14 minutes)

Currently Go-Kart has its own administrative and accounting teams to handle their respective functions. Pursuant to a post-acquisition restructuring plan, Go-Kart will transfer all of its administrative and accounting staff to Go-VR. Go-VR will no longer rely on the administrative and accounting support by its parent. Thereafter, the new administrative and accounting personnel of Go-VR will also support Go-Kart's operation. Go-VR and Go-Kart will establish a new basis for the management fee for the provision of administrative and accounting services by Go-VR to Go-Kart.

Required:

Propose controls or measures to ensure the management fee charged by Go-VR is fair and reasonable to Go-Kart.
(8 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 6 (10 marks – approximately 18 minutes)

Analyse and explain any ethical issues for each of the following series of scenarios and advise relevant safeguards if applicable.

- (a) Joshua and Martin were primary school classmates but they did not meet for more than 30 years since graduating from primary school. They have just bumped into each other in a recent primary school alumni dinner. Joshua is the Chief Financial Officer of a large retail bank in Hong Kong which is owned and run by his family. Martin is an audit partner of MNM & Co. Joshua invites Martin to participate in the audit service proposal for his bank.
(3 marks)
- (b) Joshua and Martin are both art lovers and are especially fond of surrealist paintings. Martin bought a painting at a gallery visit and would like to give it to Joshua. MNM & Co has recently submitted their audit service proposal to Joshua's bank for consideration.
(3 marks)
- (c) MNM & Co just won the bidding to provide Joshua's bank audit service. Martin has just bought a property in Hong Kong and is looking for a mortgage. Joshua has introduced to Martin a few mortgage plans that his bank offers in the market.
(2 marks)
- (d) Joshua's bank holds significant private equity investments which are required to be revalued at each of the reporting periods. Joshua would like MNM & Co to perform the valuation for his bank and seeks a fee quotation from Martin.
(2 marks)

Question 7 (16 marks – approximately 29 minutes)

- (a) Kin Hong Tong is one of the most well-known retailers of herbal products and soups in Hong Kong. Its principal business is the production and sales of Chinese herbal products and Chinese-style soups under its own brand. It has ten retail stores in Hong Kong, and all of these stores are operating under its self-owned properties.

Kin Hong Tong was founded by the Kin family in the 1980s. Over the past 30 years, Kin Hong Tong has been led by the three brothers of the Kin family who are directors of the board:

- Kin Tai Gor - Chairman of the board and chief executive officer is responsible for business strategy and development
- Kin Yee Gor - Executive director and chief operation officer is responsible for daily operations and administration
- Kin Sam Gor - Executive director is responsible for production development and production

The Kin family has been planning to further expand Kin Hong Tong's business to Taiwan and Singapore and is considering different sources of financing. Taking Kin Hong Tong to initial public offering is one of the possible options though the corporate governance of Kin Hong Tong will have to be enhanced.

Required:

Advise Kin Hong Tong what relevant changes to the board composition should be made to comply with the Main Board Listing Rules of Hong Kong Stock Exchange.

(6 marks)

- (b) Chan & Co is the newly appointed auditor of Kin Hong Tong. Alex Chan is the audit engagement leader of Kin Hong Tong's audit for the year ended 31 December 2020. The board of directors understand from Chan & Co that they may need to perform audit procedures on certain opening balances of the financial statement line items.

Alex has obtained the audited financial statement of Kin Hong Tong for the year ended 31 December 2019 and has discussed the business updates in 2020 with the financial controller of Kin Hong Tong. Below is an extract of Kin Hong Tong's audited financial information for the year ended 31 December 2019.

	<u>HK\$'000</u>
Property, plant and equipment	26,000
Financial assets at fair value through profit or loss	
- Equity and bond investments with market quote	14,600
Trade receivables and other assets	3,100
Inventories	3,520
Bank and cash	4,560
Trade and other payables	1,230
Provision and other liabilities	<u>1,895</u>
Shareholder's equity	<u>48,655</u>

Required:

Assume you are Alex. Explain which of the above financial statements line items are subject to opening balance audit procedures and propose audit procedures on these balances.

(10 marks)

Question 8 (14 marks – approximately 25 minutes)

Spotless Beauty Limited ("Spotless Beauty") is a leading Hong Kong based medical aesthetic device company. It is headquartered in Hong Kong. Spotless Beauty and its subsidiaries have operations around the world. Its products are applied in a broad range of medical aesthetic treatments including facial resurfacing, wrinkle reduction, body shaping, tattoo removal, etc.

For two consecutive years, certain research costs were inaccurately capitalised and recognised as intangible assets by the research and development centre in Hangzhou. Audit adjustments were put through by management before the finalisation of the audited consolidated financial statements of the company.

This is the third year that Wong & Co, a reputable international accounting firm, is the auditor of Spotless Beauty Limited.

The financial data below are extracted from Spotless Beauty group's management accounts for the year ended 31 December 2020:

<u>Company</u>	<u>Function</u>	<u>Revenue</u> <u>(HK\$ million)</u>	<u>Assets</u> <u>(HK\$ million)</u>	<u>Profit/ (Loss)</u> <u>(HK\$ million)</u>
Spotless Beauty	Hong Kong headquarter	N/A	267	(32)
Sub B	Research and development centre in Hangzhou	N/A	72	(28)
Sub C	Manufacturing base in Shenzhen and Greater China sales hub	348	2,305	259
Sub D	North America sales hub in New York	470	385	134
Sub E	Europe sales hub in Amsterdam	321	296	87
Total		1,139	3,325	420

Required:

- (a) Assume you are the audit engagement manager of Spotless Beauty Limited. The audit engagement partner has asked you to prepare a detailed audit scoping (e.g., full scope audit, review, specified procedures on a financial statement line item, etc.) based on the preliminary financial data presented above and provide your rationale for discussion with him.

Explain your proposed audit scope for Spotless Beauty, Sub B and Sub D.

(6 marks)

- (b) The audit engagement leader has decided that Sub E is an individually significant component of the group and the component audit of Sub E will be carried out by Wong & Co's network firm in the Netherlands.

The group engagement team has determined the component materiality for audit of the financial information of Sub E and met with Sub E's management to understand the business activities and control environment of Sub E.

Propose other relevant audit procedures that should be performed by the group engagement team.

(8 marks)

Question 9 (10 marks – approximately 18 minutes)

Happy Bee Limited is a honey manufacturer in Hong Kong. It has no distribution stores and only sells its honey products online but it has own delivery team. Happy Bee Limited has been using a self-developed comprehensive system for handling sales orders and customer payments, tracking goods delivery and managing inventory. The system is highly customised and self-maintained. During the audit planning meeting, the financial controller of Happy Bee Limited confirmed that there have been no changes to the system design and configuration during the year apart from removing system access of resigned employees.

XYZ & Co is the auditor of Happy Bee Limited. The prior year's audit findings indicated that the system is properly designed and well maintained with clearly documented system processes and controls and detailed system logs of changes and access. Both the IT general and application controls have been operating effectively as designed.

During the audit planning, XYZ & Co has decided to continue to adopt the control reliance approach in auditing the system of Happy Bee Limited.

Required:

- (a) **Propose relevant audit procedures to test the operating effectiveness of the IT general controls of Happy Bee Limited.**
- (7 marks)**

- (b) **Recommend THREE possible IT application controls over revenue recognition of Happy Bee Limited.**
- (3 marks)**

* * * END OF EXAMINATION PAPER * * *